

Small Business Management

Past-Papers

Short - Questions

(1)

Enlist Some of the contribution of SB?

Some major contributions made by SB that set them apart from larger firms

- Encourage innovation & Flexibility
- Maintain close relationship with customer & community
- Keep larger firm competitive
- Provide employee with comprehensive learning experience
- Develop risk takers
- Generate new employment
- Provide greater employee job satisfaction

(2)

What are factor that need to be considered when choosing the legal form of Business?

these are :-

- The Nature of your Business
- The level of control you desire
- The level of structure desired.

- Expected profit (or loss)
- Personal cash need
- Earning Reinvestment

(3)

Define Niche Marketing?

Niche marketing is the process of finding a small but profitable demand for something and producing a custom made product for that market

(4)

What is Joint Venture?

Joint Venture is a form of temporary partnership whereby two or more firm join in a single endeavor to make a profit

Example:- Two or more investors may combine their finances, buy a piece of land, develop it & sell it at the time JV is dissolved.

(5)

What is Business Plan?

BP is a formal Plan prepared to serve as a tool for attracting the other component of the business formation package include people & money. A well-developed and a well presented

BP can provide small business owners with a much greater chance of success & reduce their chance of failing.

(6)

Explain the type of franchise system?

Two types of franchise system:

(1) Product and trademark franchise

(2) Business format franchising

(1) PTF :- grants the franchisee the right to sell a widely recognized product or brand.

(2) BFF :- grants a franchise the right to market the product & trademark & to use a complete operating system.

(7)

Diff b/w Reengineering and Reinvention?

Reinvention

Reinvention is the fundamental redesign of a business often resulting in reduction in size & markets.

Reengineering

Reengineering is the redesign of operations, of starting from scratch

(8)

What is family owned Business?

A family-owned business is any business in which two or more family members are involved & the majority of ownership or control lies within a family.

(9)

What is SMEDA ?

Small and medium Enterprises Development Authority is an autonomous institution of the government of Pakistan under Ministry of industries & production. It was established in **October 1998** for encouraging & facilitating the development & growth of SME in country

(10)

What is Micro SB ?

A **SB** sometimes called micro business, any business that is independently owned & operated. & is not dominant in its field it may never grow large and it has only one to four employees.

(11)

What is S-Corporation ?

A form of business ownership receiving growing attention in recent year is the S-corporation a special type of corporation with fewer

then 100 shareholders that is exempt from multiple taxation & excessive paperwork.

(12)

Write down 4 advantage of Corporation?

- Protected Assets
- Pass-Through taxation
- Tax-favorable Characterization of income
- Straightforward transfer of ownership
- Cash method of accounting
- Heightened credibility

(13)

What do you mean by operation planning?

OP starts with setting policies, methods and procedure and Budgets which together form the basis for the other part of operational method & planning. policies guide action. Method and procedure provide employee with standing instruction for performing their job and Budget set the requirements needed to follow the strategies & accomplish the objective.

(14)

Enlist Four Advantage of Partnership?

A partnership is a voluntary association of

two or more persons to carry on as co-owners of a business for profit. Advantage of partnership are

- Easy to form
- Division of Labour & management Responsibility
- Can be use ideas & Plans of more than one person
- Specialized skills available from individual partner
- Obtain Financial Resource from more than one person

(15)

Enlist Four Reason to buy an existing business?

- Personnel are already working
- The facilities are already available
- The Location may be desirable
- A product is already being produced for an existing market
- Revenues & profit are being generated & goodwill exists.

(16)

What is Executive Summary?

The executive summary is a brief overview of the most important information in a business plan. Moreover, it must convey a sense of plausibility, credibility & integrity.

(17)

Discuss Downsizing?

Downsizing or rightsizing whereby an org

reduces the number of people it employee as it strives to become leaner and meaner and consolidates department & work groups

(18)

Enlist Two Advantage of Proprietorship?

- Secrecy
- Owner does not have to share profit
- Relative Freedom of action & control
- Easiest & simplest form to organize, operate & dissolve.

(19)

Enlist Four Reason to start New Business?

- Define the nature of business
- Create the preferred type of physical Facilities
- Obtain Fresh inventory
- Select a competitive environment
- Free hand in selecting & developing personnel

(20)

What is Intrapreneur?

An intrapreneur is an employee with entrepreneurial skills & is responsible for developing innovative ideas, products or services for their company. Their goal is to enhance the sustainability of the business & help it stay ahead in competition.

(21)

Diff b/w entrepreneur & intrapreneur?

Diff	Entrepreneur	Intrapreneur
Dependency	An entrepreneur is independent in his operation	It is dependent on the Entrepreneur i.e. owner
Rising of Funds	An entrepreneur himself rises fund required for the enterprise	Funds are not raised by the intrapreneur
Risk	Entrepreneurs bear the risk involved in business	Does not fully bear the risk involved in enterprise
Experience	An entrepreneur establish new business so he does not possess any experience over the business	It establish his business after gathering experience through working in the other organization

(22)

Define Small Business Management?

A Small business can be defined as a business that is privately owned & operated, with the small number of employees and relatively low volume of sales as well as profit.